

FREE GUIDE · UPDATED JUNE 2026

The California Condo Seller's Warrantability Checklist

What every owner and listing agent needs to know before going to market.

Written by **Daryn Fillis** · Certified Mortgage Advisor
NMLS #1988371 · NEO Home Loans, Los Angeles

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darynfillis.com

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SECTION 1

A note before you start

Most condo deals that fail at the project level were preventable. The owner just didn't know what to look at before listing.

A NOTE FROM DARYN

If you've picked up this guide, you're probably about to list your condo, or you're an agent about to take a condo listing. Either way, here's the part nobody tells you: the financing on your sale doesn't depend just on your buyer. It depends on your building. And in 2026, that part of the equation changed in ways most agents and most loan officers haven't caught up to yet.

I run California condo deals all the time. I've watched perfectly good deals collapse in week three of escrow because someone, somewhere in the process, didn't know the project was non-warrantable. That's a preventable outcome. So I wrote this guide.

It's not a sales pitch. There are six places where I tell you to call me, because I genuinely think this is the kind of thing you're better off discussing with a lender who runs these deals. But there's also a complete pre-listing checklist, the 2026 rule changes explained in plain language, a section on California's SB 326 inspection law, and a real conversation about what to do if your building turns out to be non-warrantable. Read whatever's useful.

— Daryn



This guide is current as of June 2026. The Fannie Mae and Freddie Mac rule changes we cover were issued on March 18, 2026, and most provisions become mandatory on August 3, 2026. The reserve funding rule takes effect on January 4, 2027. We'll come back to those dates throughout the guide.

What's in scope: practical mortgage and project-financing information for owners selling condos in California, and the agents representing them. What's out of scope: legal advice on Davis-Stirling matters, HOA governance, or contract interpretation. For those, see your HOA counsel or a real estate attorney.

SECTION 2

The three words that decide whether your deal closes

Define vocabulary before using it. The rest of the guide assumes these three.

Warrantable

A condo is “warrantable” when the building (not just the unit) meets the requirements that let banks sell the loan to Fannie Mae or Freddie Mac. That backing is what makes 30-year fixed mortgages, conforming loan amounts, and competitive interest rates possible. When a project is warrantable, your buyer can use standard conventional financing.

Most condo projects in California are warrantable, or at least have been until recently. The 2026 rule changes (which we cover in Section 3) will narrow that pool meaningfully starting August 3, 2026.

Non-warrantable

The building fails one or more of the requirements. Conventional financing through Fannie or Freddie won’t work, and often FHA and VA won’t either. Buyers need a different kind of loan, called a non-warrantable condo loan, which is offered by portfolio lenders who hold the loan themselves rather than selling it to the GSEs.

Non-warrantable loans are real loans, not workarounds. We close them all the time. The down payment hovers around 20%, which is higher than conventional’s 5% minimum but well within reach for most condo buyers. Section 8 of this guide is dedicated to what to do when your project is non-warrantable, including loan structure, rate dynamics, and how a seller credit can offset closing costs to make the deal attractive on both sides.

Project

When a lender approves a condo loan, they actually approve two things: the borrower (your buyer’s finances) and the project (your whole building or HOA). A buyer with perfect credit and 20% down can still be turned down because the project fails. This is the single most overlooked part of condo financing, and the cause of most late-escrow deal failures.

Throughout this guide, when we use the word “project,” we mean your building, your HOA, the common areas, the financials, the insurance, and everything that’s shared. The unit is yours. The project is everyone’s.

Supporting vocabulary you'll see in this guide

Project review: The lender's process of evaluating the HOA to determine warrantability. Typically takes anywhere from one to three weeks.

HOA questionnaire: The standardized form (Fannie Form 1076 or its equivalents) that the buyer's lender sends to your HOA management company. It asks about insurance, reserves, litigation, owner occupancy, special assessments, and more. The HOA fills it out and returns it.

Limited Review: A streamlined project review pathway that lenders have used for years on established projects with low loan-to-value ratios. Going away on August 3, 2026.

Full Review: The detailed project review process that all loans will require after August 3, 2026, unless the project qualifies for a Waiver.

Waiver of Project Review: A new pathway available in 2026 for very small projects (10 units or fewer) that lets the loan close without a full review.

Why this matters for sellers: A project that comfortably closed deals under Limited Review in 2025 may struggle under Full Review starting in August 2026. If you have something in the HOA financials, history, or condition that was just barely acceptable before, it may not be acceptable now.

SECTION 3

Why the 2026 rule changes matter for your sale

The biggest overhaul of condo project standards in years. Issued March 18, 2026. Mandatory August 3, 2026.

On March 18, 2026, Fannie Mae issued Lender Letter LL-2026-03 and Freddie Mac issued a matching bulletin. Together, they represent the most significant changes to condo project eligibility rules in years. If you're selling a condo in California in mid-2026 or later, the building your buyer is trying to finance is being evaluated under these new rules.

Here's the timeline of what changes when.

2026 CONDO FINANCING TIMELINE

When each rule change takes effect



ALREADY IN EFFECT

Critical-repairs rule: projects with unaddressed safety, structural, or habitability issues are ineligible. See Appendix A for the full criteria.

TRANSITION PERIOD



- **Through August 2, 2026:** Transition period. Lenders may apply the new rules early. Many already are. Some are still operating under the old rules. This inconsistency itself is a reason to know what's coming.

- ▶ **August 3, 2026:** Limited Review retirement becomes mandatory. Every conventional loan in a project with more than ten units now requires Full Review.

- ▶ **January 4, 2027:** The reserve funding minimum rises from 10% of the HOA's annual budget to 15%.

- ▶ **Already in effect (as of March 18, 2026):** Projects with unaddressed critical repairs are ineligible for conventional financing. Critical repairs include conditions like mold or water intrusion, advanced physical deterioration, failed government inspections, and certain unfunded repairs above \$10,000 per unit. The full criteria are in Appendix A.

Three of these changes deserve a closer look, because each one can independently affect whether your sale closes.

Limited Review is going away (August 3, 2026)

For years, lenders have used something called Limited Review to streamline approvals on established condo projects. If a buyer was putting down at least 25% in a primary residence (or 35% in an investment property), and the project was already established with a clean operational history, the lender could skip most of the heavier project documentation. Limited Review is what made many condo deals feel routine.

Starting August 3, 2026, Limited Review is gone for any project with more than ten units. Every conventional loan now requires Full Review.

Full Review means the buyer's lender will request the HOA questionnaire, the budget, the financial statements, the reserve study, the master insurance policy, and a list of pending litigation. The HOA has to respond. If anything in those documents flags a concern, the lender has to escalate or decline. Projects that breezed through Limited Review in 2025 may need to navigate Full Review in late 2026.

The practical implication for sellers: **have your HOA documentation organized before you list.** The pre-listing checklist in Section 4 covers exactly what to gather.

The 15% reserve rule (January 4, 2027)

HOAs are required to set aside a portion of their annual budget for future capital projects: roofs, painting, plumbing, elevators, parking structures. That set-aside is called the reserve fund, and the portion of the annual budget allocated to it is the reserve funding rate.

Through January 3, 2027, the Fannie/Freddie minimum for a warrantable project is 10% of the HOA's annual budget allocated to reserves. Starting January 4, 2027, that minimum becomes 15%.

That's a 50% increase in the required allocation. For HOAs that have been running at the 10% floor for years, the new floor is going to be a real budget conversation. Some will raise dues to meet it. Some will fall below it and become non-warrantable.

If your HOA is currently allocating 10% or less to reserves, you have a six-to-twelve-month window to either get the reserve rate up to 15% or be prepared to sell into a non-warrantable financing environment after January 2027. This is worth raising with the HOA board now if you have time before listing.

The critical-repairs rule (already in effect)

This is the strictest of the three, and it applies right now. If your project has critical repairs that haven't been addressed, the project is ineligible for conventional Fannie or Freddie financing. Not "subject to additional review." Not "requires explanation." Ineligible.

This rule is the one most likely to surprise sellers in 2026, partly because people focus narrowly on the \$10,000-per-unit number they've heard about. That number is real, but it's just one of several things that can make a repair "critical." The broader definition matters more, so let's walk through it.

What counts as a critical repair

A repair is critical if it involves any of the following:

- A material deficiency that, if left alone, could cause a critical element or system to fail within the next 12 months
- Mold, water intrusion, or leaks that could cause damage to the building
- Advanced physical deterioration anywhere in the project
- A failed state, county, or city inspection or certification related to structural safety, soundness, or habitability (in California, an unaddressed SB 326 finding would fall here)
- Unfunded repairs costing more than \$10,000 per unit that should be undertaken within the next 12 months

Examples of components that typically trigger this category: foundations, load-bearing structures, parking structures, elevators, balconies and stairwells, waterproofing, electrical systems, and seawalls. Anything that affects the building's safety, soundness, structural integrity, or habitability.

What does NOT count as a critical repair

Two important carve-outs.

First, routine and preventive maintenance does not trigger the rule. Normal capital replacements done through the regular operating budget, or through special assessments within standard guidelines, are not critical repairs. Replacing the roof on schedule is not a critical repair; ignoring a leaking roof until it's causing water damage is.

Second, the \$10,000-per-unit threshold has two specific carve-outs: it does NOT count repairs that an individual unit owner is paying for themselves, and it does NOT count repairs being funded through a special assessment. Funding is what removes the issue. If your HOA votes a special assessment to fund a \$30,000-per-unit waterproofing project, that project is no longer a non-warrantability trigger under this specific rule.

One more carve-out: if damage is isolated to one or a few units and does not affect the overall safety, soundness, structural integrity, or habitability of the project, the critical-repairs rule does not apply.

The evacuation-order rule

One additional standalone trigger: if any portion of your project is under an active evacuation order due to unsafe conditions (partial or total), the project is ineligible until the unsafe condition has been fixed and the building is deemed safe for occupancy. This is rare but absolute.

If your project has any of these issues: Call me before listing. The fix often involves the HOA formally allocating funding (which usually means a budget amendment, a dues increase, or a special assessment vote). Once properly funded, the project can return to warrantable status. The right path depends on your timeline and the HOA's posture. Appendix A at the back of this guide has the full criteria for reference.

The new small-project Waiver (good news for some)

One change that helps: Fannie and Freddie have created a Waiver of Project Review pathway for projects with ten units or fewer. If your building is a small condo conversion (common in older LA neighborhoods like Mid-City, Echo Park, the older parts of Santa Monica), your buyer's lender may be able to use the Waiver and skip most of the heavy project review.

This is a real benefit. Many smaller LA condo projects were caught in an awkward middle ground before: too small to have professional management or thick reserves, too project-like to be treated as duplexes. The Waiver acknowledges that.

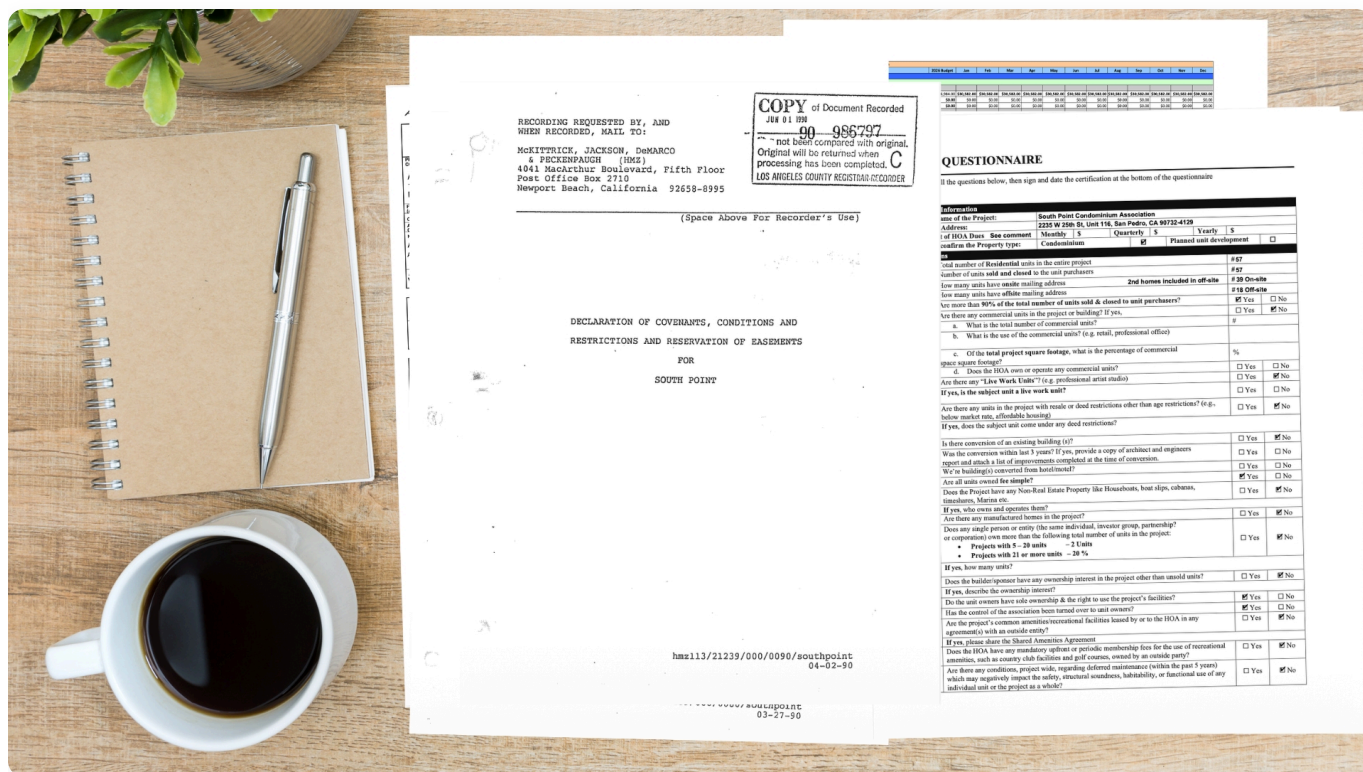
"A buyer can be perfectly qualified, the unit can be beautiful, the price can be right, and the deal still dies because of something at the project level that nobody flagged before listing. That's what this guide is built to prevent."

SECTION 4

The pre-listing checklist

Fifteen items organized into three categories. Documents to gather, questions to ask your HOA, and conditions to disclose proactively.

The single highest-leverage thing you can do before listing your condo is the work in this section. Most of it takes a few hours. The payoff is that your deal doesn't die in escrow week three because the buyer's lender found something you didn't know about.



A. Documents to gather (six items)

These are the documents the buyer's lender is going to request from your HOA. Having them organized before you list saves time and signals to the listing agent and buyer that this is a well-managed sale.

☐ **1 HOA financial statements**

Most recent 12 months of operating financials, plus the most recent year-end statement. The buyer's lender will look at income vs. expenses, delinquency rate, and the strength of the operating reserve. Request these from your HOA management company in advance; some take a week or longer to produce them.

☐ **2 Current fiscal year budget**

The HOA's adopted budget for the current year, including the reserve funding allocation as a percent of total budget. This is where lenders find the 10% (or, after January 4, 2027, 15%) reserve funding number.

☐ **3 Reserve study**

An engineering analysis of the building's capital reserve needs over a 30-year horizon. California requires most HOAs to update this every three years per the Davis-Stirling Act. If yours is older than three years, that's an issue worth raising with the board before listing. The reserve study's Percent Funded number and 30-year projection are what the lender (and the buyer) will scrutinize.

☐ **4 Master insurance certificate and declarations page**

The HOA's hazard insurance policy. Lenders are looking for adequate coverage (typically full replacement cost), reasonable deductibles, and named-insured language that includes individual unit owners. In California, the master policy may also include earthquake coverage; if not, the buyer's lender may require a discussion of that.

☐ **5 Bylaws and CC&Rs**

The governing documents of the association. Buyers will receive these during escrow as part of the standard disclosure package, but having them ready signals organization and lets the buyer's agent share them earlier in the process.

☐ **6 SB 326 inspection certificate (if applicable)**

If your building has wood-supported exterior elevated elements (balconies, decks, walkways, stairways), California SB 326 required your HOA to have completed a safety inspection by January 1, 2025. If the inspection has been done, your HOA should have the certificate on file. If it hasn't been done, that's now part of the conversation, and Section 5 covers what to do about it.

B. Questions to ask your HOA (five items)

These are questions to put to your HOA board or management company in writing before you list. Get the answers documented, because the buyer's lender will ask the same questions on the HOA questionnaire, and inconsistent answers between what you told the buyer and what the HOA said are a problem.

☐ **7 Is the HOA currently in any litigation?**

Routine collections lawsuits against delinquent owners are usually fine. The lender concerns are construction defect litigation against the developer or builder, lawsuits over major repairs, and any litigation that could result in a financial judgment against the association. Get the specifics: what's pending, against whom, and what's at stake.

☐ **8 Are any special assessments pending?**

Both currently being collected and voted-on but not yet collected. A buyer's lender will treat a pending special assessment as a potential liability. The size matters; a \$500 per unit assessment is different from a \$50,000 per unit assessment. Be specific about timing and amount.

☐ **9 What percentage of units are owner-occupied?**

For most warrantable projects, the lender threshold is that at least 50% of units must be owner-occupied (some flexibility exists for established projects). High investor concentration is a non-warrantability trigger. Get the current ratio from your HOA.

☐ **10 Does any single entity own more than 10% of units?**

This concentration limit applies to projects with 21 or more units (in smaller projects, the threshold is 20%). A single investor, the original developer, or an institutional owner holding too many units is a non-warrantability trigger. If your building has a sponsor or developer that still holds inventory, this may apply.

☐ **11 Has the HOA completed the SB 326 inspection, and is the certificate on file?**

If yes, you're ahead of the game. If no, you need to know when it's scheduled, who's doing it, and what the budget implication is. Section 5 of this guide covers SB 326 in depth.

C. Conditions to disclose proactively (four items)

The strongest play in a condo sale is to surface project issues yourself, in your listing materials and your conversation with the buyer's agent, before the buyer's lender discovers them. Surprises in week three of escrow cost deals. Disclosure in week one preserves them.

☐ **12 Construction defect or major repair history**

If your building has had construction defects, water intrusion, structural repairs, or major capital projects in the last five years, surface that. The buyer's lender is going to find it in the HOA minutes anyway. Coming from you, it's context. Coming from the lender, it's a red flag.

☐ **13 Any conditions that could qualify as critical repairs**

Mold or water intrusion, advanced deterioration, structural issues, failed government inspections, or unfunded repairs over \$10,000 per unit that need attention within 12 months. Any of these can make the project ineligible for conventional financing under Fannie and Freddie's critical-repairs rule. Read your reserve study and review the last year of HOA meeting minutes; anything flagged in either is worth surfacing now. Section 3 walks through the full rule, and Appendix A has the complete criteria.

☐ 14 Insurance gaps

California-specific consideration: if your HOA carries hazard insurance but no earthquake coverage, that's a disclosure-worthy detail. Some buyers (and some buyers' lenders) will care; others won't. Either way, surface it early.

☐ 15 Reserve funding status vs. the January 2027 rule

If your HOA is currently at 10% reserve funding (the old minimum), there's a clock ticking on the new 15% minimum that takes effect January 4, 2027. Buyers in late 2026 will start asking whether the building will still be warrantable after that date. Have an answer ready, ideally one that involves the board's plan to meet the new requirement.

Time investment: Most sellers complete this checklist over the course of about a week, with most of that time spent waiting for HOA management to produce documents. Start the process at least two weeks before you plan to list.

Condo Warrantability Quick Check

Use this one-page pre-screen to identify HOA or building issues that may limit a buyer's standard conventional financing. Complete it with the HOA or management company and mark **Unknown** rather than guessing.

PROPERTY ADDRESS

HOA NAME

TOTAL UNITS

10 UNITS OR FEWER?

Potential project-level red flags

Any single item can require additional review. A "Yes" does not automatically mean the condo cannot be financed.

	YES	NO	UNKNOWN
1. HOA litigation: The association is involved in litigation beyond routine collection actions.	☐	☐	☐
2. Special assessment: An assessment is pending, approved, or currently being collected.	☐	☐	☐
3. Owner occupancy: Fewer than 50% of the units are owner-occupied.	☐	☐	☐
4. Single-entity ownership: One owner controls more than 10% of units in a 21+ unit project, or more than 20% in a smaller project.	☐	☐	☐
5. Commercial space: Commercial use exceeds 35% of the project's total square footage.	☐	☐	☐
6. Hotel/transient operation: The project has hotel-style management, registration services, or daily transient rentals.	☐	☐	☐
7. Reserve funding: The HOA allocates less than 10% of its annual budget to reserves now, or less than 15% for the January 2027 rule.	☐	☐	☐
8. Critical repairs: Unresolved structural issues, water intrusion/mold, advanced deterioration, failed safety inspections, or certain unfunded repairs over \$10,000 per unit needed within 12 months.	☐	☐	☐
9. SB 326: The building has wood-supported balconies, decks, walkways, or exterior stairs but no completed inspection report/certificate.	☐	☐	☐

Documents to collect

☐ Most recent 12 months of HOA operating financials, plus the latest year-end statement

☐ Current adopted budget showing the reserve contribution percentage

☐ Most recent reserve study, preferably updated within the last three years

☐ Master hazard insurance certificate and declarations page

☐ CC&Rs and bylaws

☐ SB 326 inspection report/certificate, if applicable

Also helpful: the last 12 months of HOA meeting minutes and any repair or special-assessment notices.

How to read the result

All "No": The project may be a good candidate for standard financing, but it still needs lender review.

Any "Yes" or "Unknown": Review the project before listing or before accepting an offer that depends on conventional financing.

Do not score it: One serious issue can matter more than several clean answers.

2026 timing notes

8/3

August 3, 2026: Limited Review retires for projects with more than 10 units; full project review generally applies.

1/4

January 4, 2027: Minimum HOA reserve contribution rises from 10% to 15%.

Projects with 10 units or fewer may qualify for a waiver of project review. Eligibility is not automatic.

Need a project status check before the condo goes to market?

Send the property address, HOA name, and completed checklist. I will review the available Fannie Mae, Freddie Mac, FHA, and VA project status and flag next steps.

myadvisors@neohomeloans.com

424-396-6967 | darynfillis.com/cal-condo

SECTION 5

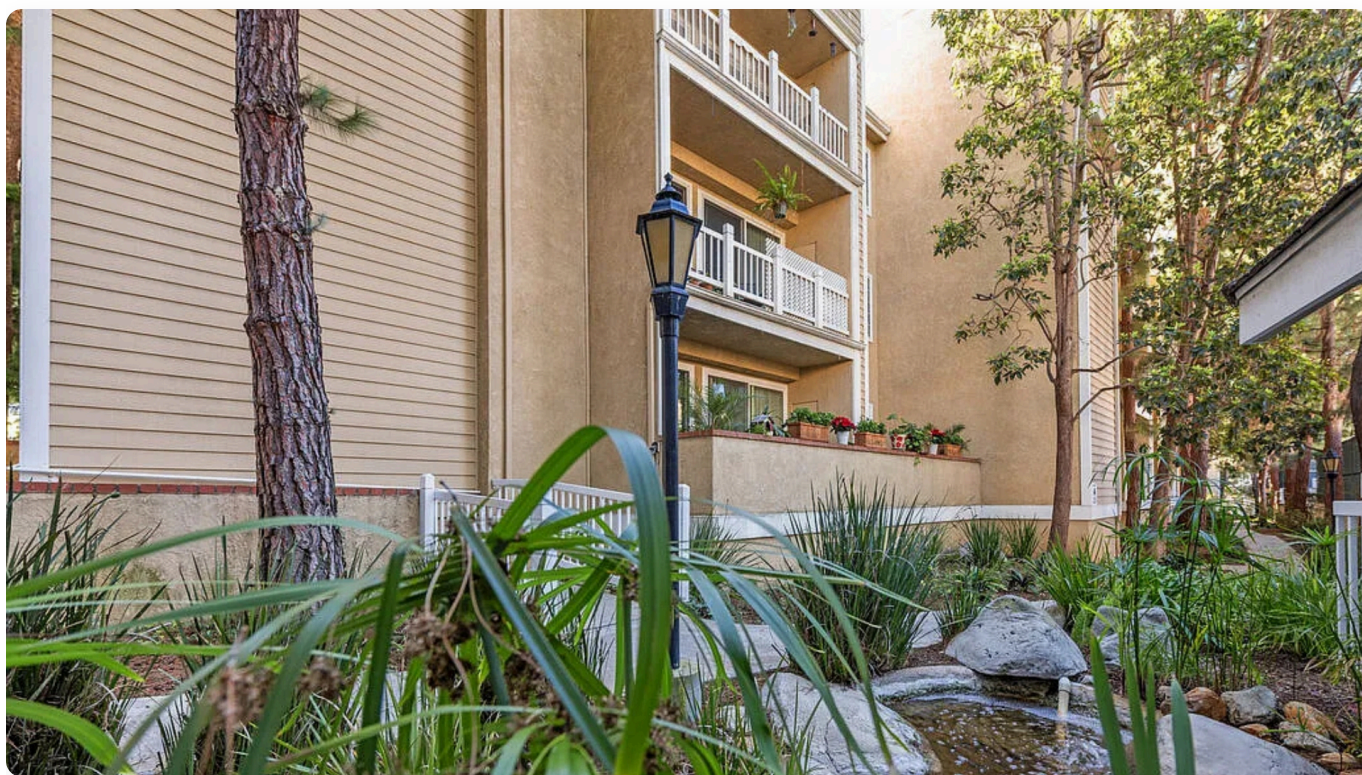
SB 326: the California-specific layer

California Civil Code Section 5551. The balcony inspection law most HOAs haven't fully complied with yet.

SB 326 is a California law that took effect on January 1, 2020. It requires condominium associations with three or more units to inspect exterior elevated elements (balconies, decks, walkways, and stairways) that are supported in whole or part by wood, with a focus on whether the supporting structure is safe.

The first compliance deadline was January 1, 2025. That deadline has now passed by more than a year. After the first inspection, the cycle is every nine years thereafter.

This was originally written in the aftermath of the 2015 Berkeley balcony collapse, when a fifth-floor balcony failed during a birthday party, killing six people. SB 326 (alongside SB 721 for rental apartments) was the state's response. The Surfside collapse in 2021 further intensified attention.



Who does SB 326 apply to?

Condominium associations governed by the Davis-Stirling Act, with three or more units, that have any of the following:

- Wood-supported balconies
- Wood-supported decks
- Wood-supported walkways
- Wood-supported exterior stairways

If your building has none of those (concrete-framed buildings, for example, may have no wood-supported elements at all), SB 326 doesn't apply. If your building has any of those, you needed to have completed the first inspection by January 1, 2025.

What does a compliant inspection look like?

The inspection must be done by a licensed structural engineer or architect. The inspection covers a random sample of at least 15% of the wood-supported exterior elements. The inspector produces a report identifying any structural concerns, any items requiring repair, and an overall assessment of whether the elements are in a generally safe condition.

The HOA keeps the inspection report on file. Buyers' lenders, increasingly, are asking for a copy as part of the HOA questionnaire.

What about the AB 2579 extension?

You may have heard that the California legislature extended SB 326. Specifically, AB 2579 (signed in 2024) extended the inspection deadline for some properties. **The AB 2579 extension does not apply to condos.** It only extends the SB 721 deadline for rental apartment buildings. Condos remain on the original January 1, 2025 deadline.

This is a common misunderstanding. If your HOA management company has told you that you have until 2026 or 2027 to complete the inspection, they may be conflating SB 326 with SB 721. The deadline for condos was January 1, 2025, and there is no extension.

What if your HOA hasn't done the inspection yet?

You're not alone. Industry surveys suggest a meaningful percentage of California condo associations still hadn't completed their first inspection as of late 2025. The fix is to get it scheduled. Typical timeline from contracting to certificate is four to eight weeks. Typical cost varies widely by building size; small projects may be in the low thousands, larger projects can run into five figures.

For a seller, the question is whether to wait until the inspection is done before listing. The honest answer depends on your timeline, the size of the building, the seasonality of your market, and the

buyer profile you're targeting. There's no universal right answer. The wrong answer is to ignore it and hope the buyer's lender doesn't ask, because increasingly they do.

The lender's read: A clean SB 326 certificate is a positive signal about HOA management quality. A missing inspection isn't automatically a deal-killer (especially if the building has no wood-supported elements), but it's now a question on most HOA questionnaires. Have an answer ready.

SECTION 6

FHA and VA condo lists explained

Fannie and Freddie are not the only games in town. Separate FHA and VA project approval can expand your buyer pool significantly.

When sellers and agents talk about “warrantability,” they almost always mean Fannie Mae and Freddie Mac warrantability. That’s the biggest pool of buyers and the most common loan type. But FHA and VA each maintain their own separate project approval systems, and a project can be approved by some agencies and not others.

Why this matters for your sale

If your project is Fannie/Freddie warrantable but not FHA-approved, you’re cutting off a significant slice of the buyer market: lower-down-payment buyers using FHA loans (3.5% down minimum, more lenient credit requirements). If you’re selling a unit priced below the conforming loan limit (currently \$1,209,750 in high-cost LA County for 2026), this is a real consideration.

If your project is not VA-approved, you’re cutting off active-duty service members, veterans, and surviving spouses using their VA benefit. In LA County and especially in El Segundo, the South Bay, and Long Beach, there’s a real veteran buyer population that’s effectively locked out if your project isn’t on the VA list.

You can have a project that’s warrantable to Fannie and Freddie, approved by FHA, but not approved by VA. Or any other combination. Each agency maintains its own approval and its own list.

How to look up your project status

FHA: The HUD Condominiums website maintains a searchable database of FHA-approved condo projects. Look up your building by address or HOA name. Approval is granted for two-year terms; if the project was approved in 2022 and hasn’t been recertified, it’s currently expired.

VA: The VA maintains its own condo lookup system. Approval here is a one-time approval that remains in place unless the project becomes ineligible, but VA can require updated information to confirm continuing eligibility.

Fannie/Freddie: No public lookup. Your lender (or I) can check the Fannie Mae Condo Project Manager (CPM) and the Freddie Mac equivalent. This is one of the four checks included in the free project status review I offer.

The most common surprise: A project that was FHA-approved in 2022 quietly lapses in 2024 because nobody on the HOA board paid attention to the recertification window. Buyers using FHA loans find out too late. If your building was FHA-approved at any point, verify the current status before listing.

How to get a project approved if it isn't

If your project is missing FHA or VA approval, this is a fixable problem, but it's an HOA-level decision and a time investment. Here's how each pathway works.

FHA project approval (the HRAP pathway)

FHA approval for a condo project is granted through HUD's Homeownership Center under a process called HRAP (HUD Review and Approval Process). The HOA (or a designated representative, often the management company or a specialized condo approval firm) submits a project package directly to HUD.

What the HOA needs to assemble:

- Current operating budget and reserve study
- Two most recent years of audited financials, or unaudited if professionally prepared
- Master insurance certificate
- Recorded CC&Rs and bylaws
- Recent board meeting minutes
- HOA questionnaire (Form HUD-9991, the FHA project certification)
- Information on litigation, special assessments, owner occupancy, and commercial space

Timeline: Typically 60 to 120 days from a complete submission to approval. **Cost:** No HUD fee for the application itself, but most HOAs hire a specialized condo approval consultant; budget \$1,500 to \$3,500 for a turnkey filing. **Term:** Approval lasts three years, then must be recertified. The recertification is much lighter than the initial filing.

Where to start: The HUD Condominium portal at hud.gov/program_offices/housing/sfh/condominiums is the official starting point. Several private firms (FHA Condo Approval, Condo Approvals LLC, and others) specialize in shepherding the filing.



VA project approval

VA approval is administered separately by the Department of Veterans Affairs through its Regional Loan Centers. The process is similar in spirit to FHA but with different paperwork and a different reviewing entity.

What the HOA needs to assemble:

- Current and previous year operating budgets
- Recent financial statements
- Master insurance and fidelity bond documentation
- CC&Rs and bylaws
- Plat map and floor plans
- Project questionnaire
- Statement on litigation, special assessments, and unit ownership

Timeline: Highly variable; typical range is 60 to 180 days depending on Regional Loan Center workload. The VA RLC for California condos is in Phoenix. **Cost:** No VA fee for the application; same consultant-fee math as FHA if the HOA hires help. **Term:** VA approval is a one-time approval that remains in place unless the project becomes ineligible, but VA can require updated information periodically.

Where to start: The VA condo lookup and submission instructions are at benefits.va.gov/homeloans/condo.asp.

Is it worth doing?

For sellers, the question is whether the broader buyer pool is worth the time and money. In LA County, FHA approval expands your buyer market to lower-down-payment buyers, which matters more in the under-\$1M segment. VA approval matters in El Segundo, Long Beach, Torrance, and other South Bay neighborhoods with active military and veteran populations. If your HOA is institutionally well-run, getting both approvals is reasonably straightforward. If your HOA has thin financials, deferred maintenance, or ongoing litigation, the approval may be denied regardless of how good the filing is.

This is typically a 60-to-180-day project, so it's not something to start in parallel with a fast listing. But for a board planning ahead, or a seller with a flexible timeline, the upside on the buyer pool is real. If you want to discuss whether this makes sense for your specific building, send me the address and we'll talk through it.

SECTION 7

The nine red flags that kill condo deals

The specific patterns that trigger non-warrantability. What each one means, and what to do about it.

Almost every non-warrantable condo project fails for one (or more) of nine specific reasons. Knowing which ones apply to your building tells you which conversations you need to have before listing.

1. Active litigation

What triggers it: Litigation involving the HOA that goes beyond routine collection actions. Construction defect cases, lawsuits over major capital repairs, employment matters with management, anything that could result in a significant judgment.

What to do: Get specifics from the HOA. Understand the nature, the parties, the amount at stake, and the timeline. Some litigation (small, well-defined, well-reserved against) is manageable. Some (large construction defect, multi-million-dollar exposure) is essentially a non-warrantability flag until resolved.

2. Pending special assessment

What triggers it: A special assessment that's been voted on or announced, regardless of whether collection has started. Large pending assessments (over a few thousand per unit) are particularly scrutinized.

What to do: Disclose proactively. The buyer's lender will find it in the HOA questionnaire. If the assessment is to fund a critical repair, it may actually move the project from non-warrantable (under the critical-repairs rule) back to warrantable, because funding through a special assessment is one of the carve-outs. Context matters.

3. Investor concentration

What triggers it: More than 50% of units in the project being non-owner-occupied (rentals, second homes, vacant). Threshold varies somewhat between Fannie and Freddie; established projects sometimes have more flexibility.

What to do: Get the current ratio from your HOA. If you're close to or over the threshold, the project may already be non-warrantable. Buyers using non-warrantable programs is the path

forward.

4. Single-entity ownership

What triggers it: Any single entity (a developer holding inventory, a single investor, an institutional owner) holding more than 10% of units in projects of 21+ units, or 20% in smaller projects.

What to do: If your project is new construction with an active developer holding unsold inventory, this is common and time-limited. As units sell, the developer's share drops below threshold. Knowing where you stand in that process helps you time your sale.

5. Excessive commercial space

What triggers it: More than 35% of total project square footage being commercial use (retail, office, restaurant). Common in mixed-use buildings in downtown LA, parts of Hollywood, and elsewhere.

What to do: If your building is mixed-use, get the precise commercial-to-residential square footage ratio from the HOA. If you're over 35%, conventional financing won't work, and your buyer pool is narrowed to non-warrantable, cash, and bank portfolio buyers.

6. Hotel or transient operations

What triggers it: Daily short-term rentals, hotel-style management, registration desks, hotel-branded operations. Condo-hotels are categorically ineligible for conventional financing.

What to do: If your building permits short-term rentals as a matter of HOA rules, this is a yellow flag (depending on the rate of actual short-term use). If your building IS a condo-hotel, conventional financing isn't coming back. Non-warrantable, cash, or specialty hotel-condo loans are the financing paths.

7. Inadequate reserves

What triggers it: HOA reserve funding below the minimum threshold. Currently 10% of annual budget. Rising to 15% on January 4, 2027.

What to do: Get your current rate. If you're at or above 15% today, you're fine for the foreseeable rule. If you're below 10%, you're already non-warrantable. If you're between 10% and 15%, you have until January 2027 to get above 15%, or you become non-warrantable then. This is a board-level conversation worth having now.

8. Unaddressed critical repairs

What triggers it: The critical-repairs rule from Section 3. Any of the following can flag your project: mold or water intrusion in the building, advanced physical deterioration, material deficiencies that could fail within 12 months, a failed state or county inspection, or unfunded repairs over \$10,000 per unit needing attention within 12 months. Funding through a special assessment is one of the legitimate paths out.

What to do: Read your reserve study carefully and look at the past 12 months of HOA meeting minutes. Identify anything that could fall under the critical-repairs definition. Where issues exist, push the HOA board to either formally fund the repairs (through dues increase, special assessment, or reserve allocation) or document the funding plan. Funding identified moves the project back to warrantable for this specific rule.

9. SB 326 non-compliance

What triggers it: Missing or expired SB 326 balcony inspection certificate, where the building has wood-supported exterior elements.

What to do: Get the inspection scheduled. Section 5 covers this in detail.

A note on LA specifics: In my experience running condo deals across LA, the most common red flags I see are pending special assessments (often in mid-century buildings facing first major capital projects), investor concentration (in newer downtown high-rises that started as rental-investor heavy), and SB 326 non-compliance (in older buildings with original wood balconies). Older Mid-City, Echo Park, and West Hollywood condo conversions: watch for #4 (single entity) if there's a remaining sponsor. Newer downtown towers: watch for #6 (hotel-style amenities) and #3 (investors).

SECTION 8

What to do if your project is non-warrantable

It's not a dead end, and it's not even unusual. Here's how deals close.



If you've worked through the checklist and the red flags and concluded your project is non-warrantable, the first thing to know is that this is far more common than the real estate industry talks about. Many fine LA buildings, currently selling actively, are non-warrantable. Sellers in those buildings successfully close deals every month. The path is just different.

Who buys non-warrantable condos?

Four categories of buyer can transact:

Cash buyers. The simplest path. No financing means no project review. The percentage of LA condo deals done in cash has been historically meaningful and remains so.

Buyers using non-warrantable condo loan programs. Portfolio lenders (including NEO Home Loans) offer specific non-warrantable products. These are real 30-year mortgages, just held by the lender rather than sold to Fannie or Freddie.

Buyers using bank statement or asset-depletion loans. Especially relevant for self-employed buyers who don't qualify for conventional based on tax returns but qualify based on bank deposits or asset levels. These loans often accept non-warrantable projects.

Buyers using jumbo non-warrantable programs. For higher-price-point units (over the conforming limit), portfolio jumbo programs frequently accommodate non-warrantable projects.

How we close non-warrantable deals: Condo Solutions

At NEO Home Loans we run a program we call **Condo Solutions**. We don't portfolio these loans ourselves; we broker them to a curated set of wholesale lender partners who specialize in non-warrantable condos. That gives us flexibility most retail lenders don't have. Different wholesale partners have different appetites, different underwriting boxes, and different fee structures, so the right one for your deal depends on the specifics of your building and your borrower.

Two things about how this works in practice are worth understanding before you go to market.

Some partners use a streamlined project review

Several of the wholesale lenders we work with use a streamlined project review process rather than the full Fannie/Freddie questionnaire. For practical purposes, that means a project that would be flagged non-warrantable under standard GSE review can still close conventionally-structured financing with one of these partners. The deal closes faster, with less back-and-forth between the buyer's lender and the HOA management company. The tradeoff: these programs typically carry origination fees that standard warrantable loans don't.

This is the "solution" for a lot of California condos that are technically non-warrantable but otherwise good projects. It's not a workaround; it's a different review path with different documentation requirements, offered by lenders who've built their underwriting around projects the GSEs won't accept.

Rates can actually beat conventional

One thing that surprises sellers and agents: the interest rate on a Condo Solutions loan isn't always higher than conventional. Depending on market conditions and the specific wholesale partner, the rate can be competitive with, and sometimes lower than, the rate on a comparable conventional loan. The cost shows up in origination fees instead of in the rate itself. The total cost over the life of the loan is roughly comparable; the costs just sit in different places.

This is exactly where the seller-credit strategy comes in. Because Condo Solutions loans carry origination fees the buyer wouldn't face on a conventional loan, sellers can offer to cover those fees as a closing credit, making the unit competitive against warrantable comps. The structure works for both sides: the buyer gets the rate they want without the closing-cost burden, and the seller closes a deal that might otherwise have died at project review.

The exit ramp: refinancing into conventional later

This is the part most sellers and agents miss, and it's a real selling point. If your buyer uses Condo Solutions to close on a non-warrantable building today, they're not locked into that loan forever. When the project becomes warrantable in the future (the HOA funds the deferred maintenance, the litigation resolves, reserves get up to the new 15% rule), the borrower can refinance into a standard conventional Fannie or Freddie loan.

I run a **no-cost refinance program** at NEO that's designed specifically for this kind of scenario. There's no out-of-pocket cost to refinance, the closing costs get structured into the new loan, and we monitor rates and project status after your buyer closes so we can run the math the moment conventional financing makes sense. The full explanation is at darynfillis.com/no-cost-refinance.

For a listing agent or seller, that's a real conversation to have with the buyer's agent: the building's status today doesn't lock the buyer into the loan structure forever. There's a credible path from Condo Solutions today to conventional financing later, and we walk the borrower through that whenever it makes financial sense to do so.

Bottom line. If your project is non-warrantable, Condo Solutions can close your deal. Down payment is still around 20% in most cases. Rates can be competitive with conventional. The structure costs the buyer something extra in origination fees, but a seller credit can offset that. And the borrower has a clear refinance path once the project returns to warrantable status. Call me before listing to talk through what fits your specific building.

The quick facts on non-warrantable financing

The deeper conversation about how Condo Solutions works is above. Here are the quick facts a seller or listing agent typically needs to know about how a non-warrantable buyer's loan looks.

Down payment: Hovers around 20%, with some programs going as low as 15% or as high as 25% depending on the project profile and the borrower. Conventional minimum for a condo is 5%, so a non-warrantable buyer is bringing more cash to the table. For LA price points, this often means well-qualified buyers with savings or sale-of-prior-home proceeds.

Loan terms: Most non-warrantable programs offer 30-year fixed or various ARM products. The 30-year fixed is the most common path.

Documentation: Often more thorough on the borrower side, especially when combined with bank statement income or asset depletion.

What this means for your pricing strategy

If you're selling a non-warrantable condo, the question isn't whether to drop the price. The question is whether the cash flow math for a buyer using non-warrantable financing works at your asking price. Some sellers in non-warrantable buildings price the unit such that the math works for a non-warrantable buyer at typical program rates and down payments. Others rely on cash buyers and price accordingly. Your listing agent should run both scenarios.

The conversation to have with the buyer's agent

If your project is non-warrantable, flag it in the listing remarks (something direct like "Cash or non-warrantable financing only. Lender referrals available."). This saves you tire-kickers and signals to serious buyers and their agents that the deal will need a specific kind of lender.

Better still: have a non-warrantable lender (me, or someone else who runs these constantly) lined up to refer buyers to. It removes friction. A buyer's big-bank lender who says "we can't do this project" can sink an otherwise-fine deal if there's no alternative offered. Having a path forward saves it.

The honest reality: A non-warrantable project does narrow your buyer pool. It doesn't kill your sale. Hundreds of non-warrantable condo deals close in California every year. If you're in this situation, call me before listing and we'll talk through specifics for your building.

SECTION 9

Talking to the buyer's agent and lender

Tactical advice for the conversations that actually close deals.

The buyer's agent and the buyer's lender are not your adversaries. They're trying to close the same deal you are. But they don't have the information you have, and the more you make their job easy, the more likely the deal survives the various near-death experiences every escrow goes through.

Disclose project status upfront

If you've worked through the pre-listing checklist and you have good answers (or any answers at all) on warrantability, share them. This signals to the buyer's agent that you're a serious seller working with a serious lender. It also gets the buyer's lender ahead of the questions they'll be asking anyway.

If you've done the free project status check (Section 10), you have a one-page summary of your project's status with Fannie, Freddie, FHA, and VA. Share that with the buyer's agent during offer negotiations, or with the buyer's lender once you're in escrow.

Direct project questions to the HOA, not to you

The buyer's lender will need to send an HOA questionnaire. Make sure they send it to your HOA management company, not to you personally. Your job is to facilitate, not to fill out the form. Mistakes on the questionnaire are a frequent source of late-escrow problems; let the HOA management company answer.

If the deal hits trouble, loop in a lender who runs non-warrantable

Sometimes the buyer's lender will return the project review with bad news: the building is non-warrantable. Their conventional loan can't close. The buyer is panicking. Their agent is scrambling.

This is the moment to recommend a lender who runs non-warrantable programs. Often, the SAME buyer who couldn't close conventional CAN close non-warrantable with a different down payment structure. The deal saves. You close.

This is one of the most concrete things I do: An LA buyer's agent calls me at week four of escrow with a panicked seller and a buyer whose conventional financing just got declined because of the project. We have one conversation, qualify the buyer for our non-warrantable program, and the deal closes ten days later. This happens regularly.

SECTION 10

How to request a free project status check

The fastest way to know exactly where your building stands across all four agencies.

I run a free project status check for sellers, agents, and owners thinking about listing. Send me your building's address and the HOA name. Within one business day, you'll get an email back with the current status across Fannie Mae, Freddie Mac, FHA, and VA, plus my read on anything that looks like it might be a flag.

What I check

- **Fannie Mae** — Condo Project Manager (CPM) lookup, including current eligibility status under the new March 2026 rules
- **Freddie Mac** — equivalent project status lookup
- **FHA** — current approval status, including recertification window if applicable
- **VA** — current approval status

What you need to provide

- The property address (full address, including unit number if you have it)
- The HOA name (as registered, not the building's marketing name if they differ)
- Optional: anything else relevant you want me to know (timeline, known issues, pending board decisions)

What you'll get back

A direct email from me, within one business day, with the project status across all four agencies, a brief read on anything I see that might be worth knowing about, and (if relevant) suggestions for what to do next.

Cost

None. There's no obligation to use me as your lender. Some of the people I do project checks for end up working with me; many don't. Either way, the check is free, because frankly, knowing where your project stands across all four agencies is information you should have before listing.

How to request

Easiest: go to **darynfillis.com/cal-condo** and submit the form on the seller's confirmation page, or email me directly at **myadvisors@neohomeloans.com** with your address and HOA name. Phone works too: **424-396-6967**.

SECTION 11

About Daryn & how to reach me

Who I am, why I wrote this, and how to get in touch.



I'm a Certified Mortgage Advisor and Branch Lead at NEO Home Loans, here in Los Angeles. The Certified Mortgage Advisor designation means I'm trained to look at your full financial picture: your goals, your timeline, your tax structure, your equity strategy. Not just close your loan. Most advisors' jobs end at the signing table. Mine is designed to start there.

Before mortgages, I spent 18 years in Mexico City running businesses, including a toy company I led as CEO and a stint managing Tower Records. I moved to LA in 2015. If you're self-employed or run your own business, I've sat in your seat. I understand your tax structure, your income complexity, and what makes lenders nervous. Most of that work gets done before your file is ever submitted.

Hablo español con fluidez. Si prefieres trabajar en español, lo hacemos.

What this looks like in practice

I run condo deals across LA County constantly, with particular concentration in El Segundo, the South Bay, and the Westside. Warrantable, non-warrantable, FHA, VA, conventional, jumbo. Buyers, sellers, agents. The condo market in 2026 is unusual, and the way I work with it reflects that. I run a Total Cost Analysis before we decide anything important. I'm still watching your file after you close, and when something changes that matters (a rate window, a project status change, a refinance opportunity), I'll call you. Not a newsletter. A call.

I wrote this guide because the March 2026 condo financing changes are the biggest in years, and most sellers and agents weren't given a heads-up. If knowing what's coming makes your next condo sale easier, that's what this is for. If we end up on a call after you read this, that's great too.

The contact details and full disclosures are on the back cover.

REFERENCE

Appendix A • The full critical-repairs criteria

A complete reference for the criteria Fannie Mae and Freddie Mac use to determine whether a project has critical repairs. Useful to share with your HOA board or management company.

A repair is considered “critical” if any of these apply:

1. **Material deficiencies that could cause failure within 12 months.** Any structural or system condition that, if left alone, could contribute to the failure of a critical element or system within the next year.
2. **Mold, water intrusion, or potentially damaging leaks** affecting any of the project’s buildings.
3. **Advanced physical deterioration** of any kind throughout the project.
4. **Failed inspections.** Any project that has failed a state, county, or other jurisdictional mandatory inspection or certification specifically related to structural safety, soundness, or habitability. (In California, an open SB 326 finding can fall under this category.)
5. **Unfunded repairs above \$10,000 per unit needing attention within 12 months.** With two carve-outs: this does not include repairs that an individual unit owner is paying for themselves, and it does not include repairs being funded through a special assessment.

Examples of components that frequently trigger the rule:

Foundations · load-bearing structures · parking structures · elevators · balconies and stairwells · exterior waterproofing · electrical systems · seawalls. Anything that affects the building’s safety, soundness, structural integrity, or habitability.

What is NOT a critical repair:

- **Routine and preventive maintenance.** Work focused on keeping the project fully functioning and serviceable.
- **Normal capital replacements through the operating budget.** Scheduled, planned, and budgeted work.
- **Special assessments that fall within standard guidelines.** Properly noticed, voted, and structured assessments to fund capital projects.

- **Damage isolated to one or a few units** that does not affect the overall safety, soundness, structural integrity, or habitability of the project.

The evacuation-order rule:

Separate from the criteria above: if any building in the project is under an active evacuation order due to unsafe conditions (partial or full), the project is ineligible for Fannie or Freddie financing until the unsafe condition has been remediated and the building has been deemed safe for occupancy.

How to use this appendix. If you're an HOA board member, share this with your management company and your reserve study engineer; it's a useful framework for thinking about which items in your reserve study could affect future sales. If you're a seller or listing agent, use it as a checklist when you're reviewing the past year of HOA meeting minutes for anything that could surface during a buyer's loan review.

These criteria reflect Fannie Mae and Freddie Mac project eligibility standards. The exact regulatory language and any subsequent updates are available in Fannie Mae Lender Letter LL-2026-03 and Freddie Mac Bulletin 2026-C, plus the agencies' Selling Guides. This appendix is a working summary, not the official source. For an authoritative read on a specific situation, consult the source documents or your mortgage advisor.

Contact

DARYN FILLIS

Certified Mortgage Advisor · Branch Lead
NEO Home Loans, Los Angeles

PHONE

424-396-6967

EMAIL

myadvisors@neohomeloans.com · daryn.fillis@neohomeloans.com

WEB

darynfillis.com

SCHEDULE A CALL

darynfillis.com/schedule

OFFICE

222 Pacific Coast Hwy, 10th Floor, Suite 135, El Segundo CA 90245

NMLS

Individual NMLS #1988371 · Branch NMLS #2733710

Disclosures. Daryn Fillis (NMLS #1988371) is a licensed mortgage loan originator with NEO Home Loans, a division of Better Mortgage Corporation. NEO Home Loans is powered by Better. Loan programs, eligibility requirements, rates, and product availability are subject to change without notice. The information in this guide is for educational purposes and reflects mortgage industry rules and program guidelines current as of June 2026. Specific eligibility for any loan product is determined at application based on full underwriting and the then-current program guidelines.

This guide is not legal advice, tax advice, or HOA governance advice. For matters specific to your association, consult with HOA counsel or a real estate attorney. References to California Civil Code Section 5551 (SB 326), Fannie Mae Lender Letter LL-2026-03, Freddie Mac Bulletin 2026-C, and other regulatory or program publications are accurate to the best of our knowledge as of the publication date of this guide; consult original sources for authoritative information.

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